

INVESTMENT PRO-FORMA AND YIELD ANALYSIS

Asset Name: The Vertex Co-Living & Commercial Hub

Location: Whitefield IT Corridor, Bengaluru

Asset Class: High-Yield Hybrid (Commercial + Managed Residential)

1. PURCHASE METRICS AND ACQUISITION COSTS

The asking price for the entire freehold asset is 4.8 Crore. The seller is firm on the price, though a structured payout over 6 months may be negotiated. Standard stamp duty in this jurisdiction is 5.5%, and registration charges are an additional 1%. The buyer should also account for a mandatory 1% TDS (Tax Deducted at Source) under section 194IA. Brokerage fees are fixed at 2% of the final negotiated price.

2. REVENUE STREAMS (RENTAL YIELD)

The property is divided into two distinct revenue-generating wings:

- Ground Floor (Commercial Space): Currently leased to a mini-mart on a 9-year lock-in contract. The monthly rental income is fixed at 1.2 Lakhs, with a 15% escalation clause kicking in every 3 years. The next escalation is due in exactly 14 months.
- Upper Floors (Co-Living Residential): Features 12 fully furnished studio units. When fully occupied, each unit generates ₹22,000 per month. Historically, the co-living space experiences a vacancy rate of 8.5% due to IT sector attrition.

3. OPERATIONAL EXPENSES (OPEX)

The property is not maintenance-free. The investor must account for the following recurring annual expenses:

- Property Tax: ₹1,15,000 per annum.
- Commercial Insurance: ₹45,000 per annum (covers fire, theft, and natural disasters).
- Property Management Fee: A third-party agency manages the co-living tenants and charges a flat fee of 10% of the gross residential rental income collected.
- Sinking Fund / Maintenance: Historical data suggests setting aside 1.5 Lakhs annually for plumbing, electrical, and structural upkeep.

- Note: There is a one-time special assessment fee of 3.5 Lakhs mandated by the local tech-park association for upgrading the central sewage treatment plant, payable by the property owner next year.

4. APPRECIATION AND EXIT STRATEGY

Given the upcoming Metro Line Phase 3 extension scheduled to open within 800 meters of the property in 2028, conservative micro-market reports estimate an aggressive annual capital appreciation rate of 7.5% to 8.2% over the next 5 years.

5. FINANCING OPTIONS

A pre-approved commercial loan is available from HDFC Bank for up to 65% of the property value at a floating interest rate of 8.75% for a tenure of 15 years. The buyer will need to arrange a cash down payment of roughly 1.68 Cr to cover the margin money, stamp duty, and initial setup costs.